

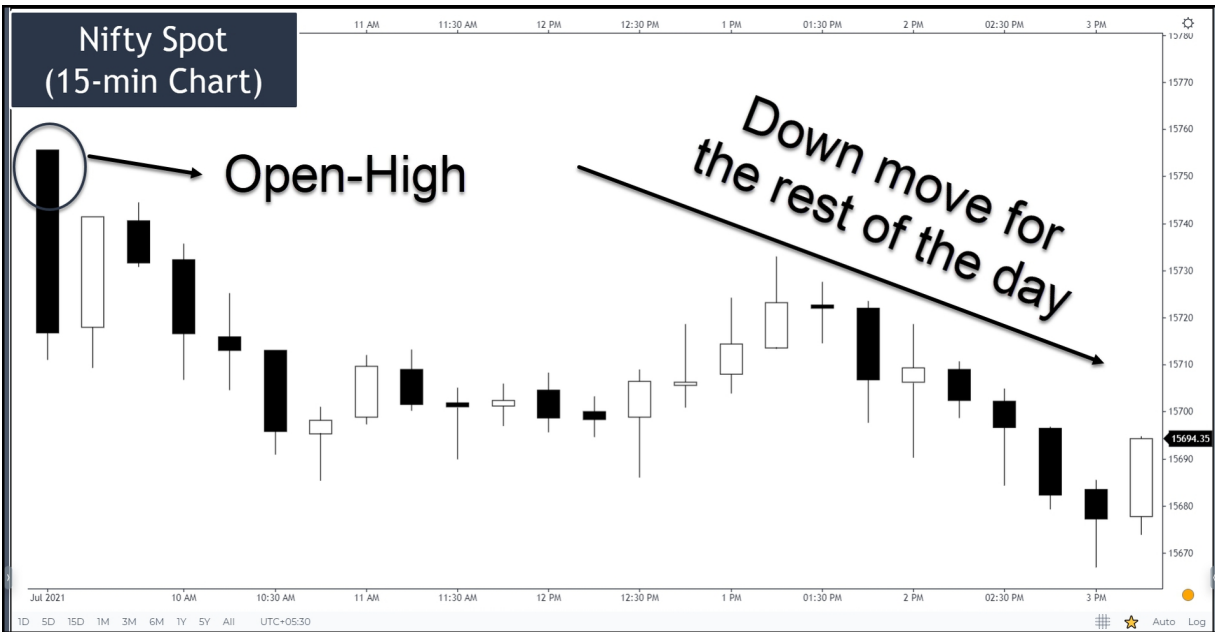


Image 2.3 – Open High and Rally Downside

The above image shows 15-min chart of Nifty on 01-July-2021.

The first candle in the 15-min chart shows 'open-high formation'. It means there are no buyers immediately after the opening or the presence of strong sellers who are absorbing all the buying pressure. Hence, the price maintained open-high status even after 15-minutes.

This is a bearish pattern.

You can see how the price has gone down later and closed near day's low.

Many software and online chart providers give this facility to screen open-low and open-high stocks in the live market.

Day traders can use the above patterns to shortlist the stocks for their intraday trading.

EOD Close at Peaks

This concept is quite similar to open-low and open-high but at the opposite window of the market.